5. Under Section 50, performance is prescribed by the promisee:

According to Section 50, the performance of any promise may be made in any manner or at any time, which the promisee prescribes. Example: T owes S Rs. 2,00,000/- to accept T's car value of Rs. 1,00,000/- in reduction of the debt. The delivery of the car will amount to a part payment of the debt.

30.03 Reciprocal Promises (Section 2 (f))

Promises which form consideration or part of consideration for each other are called 'reciprocal promise'.

For example X promises to sell his house to Y for Rs.5,00,000. The promises are reciprocal. X is the promisor to give the house and a promise to receive Rs.5,00,000. Y is the promise to receive the house and a promisor to pay Rs. 5,00,000

Kinds of Reciprocal Promises

1. Mutual and Independent

Where each party must perform his promise independently without the performance of the other, the promise are mutual and independent, For example Ramu agrees to pay Somu the amount for the rice supplied on 10th June. Somu promises to deliver rice on 18th June.

2.Mutual and Dependent

Where the performance of the promise by one party depends upon prior performance of promise by the other party, the promises are conditional and dependent. For example A agrees to construct a building for B. B agrees to supply cement for the construction. Hence A's promise to perform depends on B's promise.

3. Mutual and Concurrent

Where the two promises are said to be performed simultaneously, they are said to be mutual and concurrent.



(i) Time place and manner form the core of the performance of a contract

(ii) Valid tender of performance is always considered to be the performance of a contract

Appropriation of Payments [Section 59 – 61]

Appropriation means application of payments – The question of appropriation of payments arises when a debtor owes several debts to the same creditor and makes a payment that is not sufficient to discharge the whole indebtedness.

1. Appropriation of Payments

Sometimes, a debtor owes several distinct debts to the same creditor and he makes a payment which is insufficient to satisfy all the debts. In such a case, a question arises as to which particular debt the payment is to be appropriated. Section 59 to 61 of the Act lay down following rules as to appropriation of payments which provide an answer to this question.

Commerce 26_33.indd 301 13/12/2022 13:07:18